

I. Request

1. The Ministry of Foreign Affairs, through the Directorate-General for Foreign Policy, requested the National Data Protection Commission (CNPd) to express its opinion on the draft Convention between the Portuguese Republic and the Republic of Azerbaijan to eliminate double taxation on income taxes and to prevent fraud and tax evasion (hereinafter referred to as "CDT").

2. The CNPD issues an opinion within the scope of its powers and competencies as the national authority for the control of personal data processing, conferred by paragraph c) of no. 1 of article 57 and by no. 4 of article 36 of Regulation (EU) 2016/679, of April 27, 2016 – General Data Protection Regulation (GDPR), in conjunction with the provisions of article 3, no. 2 of article 4, and paragraph a) of no. 1 of article 6, all of Law no. 58/2019, of August 8.

II. Analysis

3. The CDT in question contains an article entirely dedicated to data protection, which aims to regulate the processing of data of individuals, who are subject to international data transfer for the purposes of the Convention to eliminate double taxation on income taxes and to prevent fraud and tax evasion. The Portuguese taxes covered by this CDT are IRS, IRC, and surcharges.

4. In fact, article 27 of the CDT, under the heading "Personal Data Protection," establishes specific rules regarding the processing of personal data, which fully correspond to the wording that was the subject of Opinion/2024/5 of the CNPD, dated March 5, 2024.

5. In that opinion, the CNPD considered that the model of data protection clauses to be included in the Conventions to eliminate Double Taxation, in its entirety and under the proposed terms, is in accordance with the provisions of the GDPR, as interpreted by the Court of Justice.

6. The CNPD understood that the provisions contained therein offer adequate guarantees for the transfer of personal data to third countries, as it ensures a level of protection for individuals essentially equivalent to that existing in the Union.

7. However, as Azerbaijan does not enjoy an adequacy decision from the European Commission regarding its level of data protection, the current wording of article 27 of the CDT presents adequate guarantees, in accordance with article 46 of the GDPR, for the transfer of data from Portugal to Azerbaijan and for subsequent processing operations.

8. In this sense, the CNPD expresses its satisfaction with the use, for the first time, of this model of data protection clauses, and understands that the present CDT respects the existing Portuguese legal framework regarding data protection.

III. Conclusion

9. The CNPD considers that the Convention to be concluded between Portugal and Azerbaijan, in the current wording of article 27, whose provisions regulate the processing of personal data carried out under the CDT, offers adequate guarantees in the context of international data transfer to third countries, in accordance with the combined provisions of articles 44 and 46 of the GDPR, and ensures a level of protection for individuals essentially equivalent to that existing in the Union.

Approved at the meeting of April 1, 2025

MARIA CÂNDIDA OLIVEIRA

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Maria Cândida Oliveira (Member substituting the President)

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